

2. Pay the entire credit card bill each month. I've heard many people say that they never misused their credit cards, because they paid them off each month. But using credit cards—or any credit—wisely is not merely a matter of being able to pay them off on time. Credit cards are the number one tool for impulse buying in our society, and impulse buying is generally the prerequisite for indulgent buying. Simply put, consumers will buy things they don't need and pay more for them, using credit.

I often use a credit card when traveling, and I always pay it off each month. At one time I assumed that because I never paid any interest on credit card purchases, I was using my card wisely. I decided to challenge my own use of credit, so I stopped using the credit card for a month.

Almost immediately I began to notice that I was less prone to accept a motel's summary of the bill when I paid in cash. I also found that I had gotten lax about verifying restaurant bills because I had been using credit cards. I discovered once again that credit is less personal than cash in your pocket and that people tend to use it more carelessly.

If you don't pay the credit card charges every month, you will pay an excessive rate of interest. Paying high rates of interest represents poor stewardship. In addition, by accumulating credit card charges, you run the risk of debt.

3. The first month you find yourself unable to pay the total charges, destroy the cards. The problem is not the use of credit—it is the misuse of credit.

CREDIT REPORTS AND CREDIT SCORES

You are entitled to a free credit report from each of the three national consumer reporting agencies every twelve months.¹ A credit report will include information on where you live, how you pay your bills, and other information about your credit history.

The information on your credit report will affect whether or not you can get a loan, and what the interest rate will be. You'll also